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Study Notes

COMPANIES ACT, 2013

Descriptive Question

Notes

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Descriptive Questions and Important Points

- Some important Questions from Companies Act along with important points have been covered in the notes. You can elaborate these points and frame your answers on mentioned topics.

Question no. 1. What do you mean by 'Memorandum of Association'?

Ans.

- Introduction:**

The term The Memorandum of Association ("MoA") is a **fundamental legal document** that **outlines the company's constitution, objectives, and powers**. It serves as the company's **charter or foundation upon which the company's activities are built**. As per section 2(56) of the Companies Act, 2013 ("Act"), 2(56) the Memorandum means the memorandum of association of a company as originally framed or as altered from time to time in pursuance of any previous company law or of this Act.

Memorandum of Association **describes the purpose for which the company is formed**. It defines the powers of the company and the conditions under which it operates. It is a document that **contains all the rules and regulations that govern a company's relations with the outside world**. It is mandatory for every company to have a Memorandum of Association which defines the scope of its operations. Once prepared, **the company cannot operate beyond the scope of the MoA**. If the company goes beyond the scope, then **the action will be considered ultra vires** and hence **will be void**. The MoA is a **public document**. Section 3 of the Companies Act describes the importance of MoA by stating that, for registering a company,

- ✓ For a private company, two or more people are required;
- ✓ For a public company, seven or more people are required;
- ✓ For a one-person company, only one person is required.

Therefore, in all the above-mentioned cases, the concerned people should first subscribe to the MoA before registering the company with Registrar. This emphasizes the importance of the MoA for registering a company.

Section 4(5) of the Companies Act states that a memorandum should be in any Form as given in Tables A, B, C, D, and E of Schedule 1. The Tables are of different kinds because of different kinds of companies.

- ✓ Table A –applicable to a company limited by shares.
- ✓ Table B –applicable to a company limited by guarantee and not having a share capital.
- ✓ Table C –applicable to a company limited by guarantee and having a share capital.
- ✓ Table D –applicable to an unlimited company not having a share capital.
- ✓ Table E –applicable to an unlimited company having a share capital.

Section 4 of the Companies Act, 2013 **states the contents of the MoA** which details all the essential information that the MoA should contain.

- ✓ **Name Clause:** The MoA begins with the name clause, which states the name of the company being incorporated. The name stated in the MoA shall not be, identical to the name of another company; too nearly resembling the name of an already existing company and undesirable name will also not be allowed to be chosen and names which in any way indicate that the company is working for the government are also not allowed.
 - If a company is a public company, then the word 'Limited' should be there in the name.
 - If a company is a private company, then 'Private Limited' should be there in the name.
 - The above condition is not applicable to Section 8 companies.
- ✓ **Registered Office Clause:** This clause specifies the registered office address of the company. It includes the state in which the registered office is situated and is used for the purpose of all communications with the company. Section 12 of the Act provides that before incorporation of the company, it is sufficient to mention only the name of the state where the company is located. However, after incorporation, the company has to state the exact location of the registered office. The company has to within 30 days of its incorporation and at all times, thereafter, have a registered office capable of receiving and acknowledging all communications and notices as may be addressed to it. It is mandatory for every company to fix its name and address of its registered office on the outside of every office in which the business of the company takes place. If the company is a one-person company, then "One-person Company" should be written in brackets below the affixed name of the company.
- ✓ **Object Clause:** This outlines the purpose for which the company is formed. It contains both the main object as well as the ancillary objects for which the company is formed. The objects must be well defined and lawful a. It defines the scope of activities that the company is authorized to undertake and therefore, any activity not mentioned in this clause is considered beyond the company's scope of activity and so it is ultra vires and thus, void (Doctrine of Ultra Vires).
- ✓ **Liability Clause:** This clause defines the liability of members. In a company limited by shares, members' liability is limited to the unpaid amount on their shares. In a company limited by guarantee, members' liability is limited to a predetermined amount they agree to contribute in the event of winding up. Thus, this clause provides legal protection to the shareholders by protecting them from being held personally liable for the loss of the company.
- ✓ **Capital Clause:** This clause states the maximum amount of authorized share capital the company is authorized to issue or the maximum amount with which the company is registered. It also includes details about the number of shares, kinds of shares etc., any increase or reduction in share capital requires compliance with legal procedures.

- ✓ **Association Clause or the Subscription clause:** The last clause confirms that the subscribers to the MoA agree to become members of the company and take up shares as specified. Each subscriber's name, address, occupation, and number of shares subscribed are mentioned.

Alteration of MoA: The MoA can be altered after incorporation. Changes to the MoA may relate to the name, registered office, objects, liability, capital, or other provisions. The term “alteration” is defined in Section 2(3) of the Act, as any additions, omissions or substitutions. A company can alter the memorandum only to the extent as permitted by the Act. According to Section 13, the company can alter the clauses in the memorandum by passing a special resolution.

Thus, the MoA is a vital legal document that defines the company's scope, purpose, and fundamental structure. It serves as a reference point for the company's activities, ensuring transparency and accountability to shareholders, regulators, stakeholders, and others.

NOTE: For details relating to Alteration of MoA refer **Section 13 of the Act and the Notes provided.**

Suggestive Questions:

- Q. Discuss the characteristics and contents of the 'Memorandum of Association' in accordance with the Companies Act, 2013.
- Q. Provide a comprehensive explanation of the term 'Memorandum of Association' under the framework of the Companies Act, 2013.
- Q. Describe the meaning and significance of 'Memorandum of Association' as outlined in the Companies Act, 2013. Explain the provisions related to the alteration of the MoA.
- Q. What role does the 'Memorandum of Association' play under the Companies Act, 2013? Provide an in-depth analysis of its features and functions.
- Q. Discuss the characteristics and contents of the 'Memorandum of Association' in accordance with the Companies Act, 2013.

Question no. 2. What do you mean by 'Articles of Association'?

Ans.

- **Introduction:**

Articles of Association' under the Companies Act, 2013 (“Act”) refer to a crucial legal document that defines the internal rules, regulations, byelaws, and operational framework of a company. This document outlines the roles and responsibilities of the company's directors, officers, and shareholders in various aspects of the company's functioning. The Articles of Association (“AoA”) work in conjunction with the Memorandum of Association (MoA) to establish the company's constitution and the manner in which it will operate. The

AoA thus, helps in governing the management of internal affairs of the company. AoA has been defined under section 2 (5) of the Act as “articles” means the articles of association of a company as originally framed or as altered from time to time or applied in pursuance of any previous company law or of this Act”.

The AoA is a very important document for a company as it holds the rules, regulations and byelaws for internal administration and management of the company. It is basically for the internal management of the company. In the AoA all the:

- ✓ powers of directors and other officials are described;
- ✓ rights and obligations are prescribed;
- ✓ restrictions are also laid down in case of a private company;
- ✓ provisions regarding the shares are also mentioned.

Thus, AoA regulates the internal management of the company and the relationship of the company with its members and officers. Some of the provisions as contained in the AoA are:

- ✓ **Share Capital:** It outlines the classes and types of shares the company can issue, the rights associated with each class, value of each share, etc.
- ✓ **Alteration of capital**
- ✓ **Voting rights and proxies**
- ✓ **Meetings rules and proceedings**
- ✓ **Directors:** Their appointment, remuneration, meetings etc.
- ✓ **Accounts and audit:** When will be an audit of the accounts will be done
- ✓ **Winding up procedure etc.**

So, the AoA is a **binding contract** between the company and its shareholders, as well as among shareholders themselves. It acts as **an internal rulebook, guiding the company's day-to-day operations and interactions** between stakeholders. Any provision in the AoA that **contradicts the provisions of the Companies Act, 2013** and/or the MoA is **deemed void** to the extent of the contradiction.

Further, the 2013 Act brought into effect an important provision relating to the **Entrenchment of the AoA under section 5**. According to this provision the alteration in the AoA should be such that the altered provisions become more restrictive than those applicable in the case of a special resolution. In other words, it means the **inclusion of specific provisions in AoA that can only be altered or removed through a more rigorous process than usual**. The Act allows companies to entrench certain provisions in their AoA to provide them with greater protection and stability and thus, safeguard specific clauses or rules within the AoA from being altered or removed easily. These provisions require a **more stringent procedure for amendment than regular provisions** in the AoA. Entrenchment provision can be introduced in AoA:

- ✓ during formation/incorporation; or
- ✓ amendment in the Article by
 - a special resolution- Public Company &

- agreement between all the members- private company

Alteration of AoA: The Act provides companies with the flexibility to alter their AoA to adapt to changing circumstances, business needs, and regulatory requirements. Alteration of AoA involves making changes to the internal rules and regulations that govern the company's operations and management. However, any alteration in the AoA is subjected to the provisions of this Act and the conditions contained in the MoA. Section 14 of the Act provides that the provision for the alteration of the AoA of the company and specifies that subject to the provisions of this particular section and the conditions of the MoA, a company may alter its AoA through a special resolution and add that any alteration made shall be as valid as if it was originally contained in the AoA.

Thus, the Articles of Association play a critical role in shaping the internal structure and functioning of a company. They provide a clear framework for decision-making, governance, and interactions within the company, ensuring transparency and accountability in its operations.

NOTE: For details relating to Alteration of AoA refer Section 2(3) and 14 of the Act and the Notes provided.

Suggestive Questions:

Q. Discuss the characteristics and contents of the 'Articles of Association' in accordance with the Companies Act, 2013.

Q. Provide a comprehensive explanation of the term 'Articles of Association' under the framework of the Companies Act, 2013.

Q. Describe the meaning and significance of 'Articles of Association' as outlined in the Companies Act, 2013. How can the alteration of the AoA be done.

Q. What role does the 'Articles of Association' play under the Companies Act, 2013? Provide an in-depth analysis of its features and functions.

Q. Discuss the characteristics and contents of the 'Articles of Association' in accordance with the Companies Act, 2013.

NOTE: For answering the question related to the difference between the MoA and the AoA refer Q. 1 & 2 answers in this document with necessary modifications, if any.

Question no. 3. Write short notes on the Doctrine of Constructive Notice?

Ans.

- **Introduction:**

The 'Doctrine of Constructive Notice' is **a legal principle or doctrine** that relates to the notice given to all persons regarding the contents of Memorandum of Association and Articles of Association. When **these documents are registered with the Registrar of Companies, they are deemed to be public documents** and so, every person has access to them. Therefore, everyone having access to these public documents can inspect these documents and get their copies by paying the requisite fee. It is, therefore, **assumed that any person who deals with the company is familiar with the contents of these documents**. This is known as constructive notice.

Further, according to this doctrine, every person dealing with or proposing to enter into a contract with the company is **presumed to have constructive notice of the contents of these public documents** of the company. So, if a person deals with a company in a manner which is inconsistent with the provisions contained in these documents, he will not acquire any right under the contract against the company.

For example, if the Articles provides that a bill of exchange must be signed by two directors, a person who has a bill signed by only one director cannot claim payment upon such bill.

Therefore, **a person dealing with a company is held accountable** for having knowledge of the provisions contained in the company's public documents. If a provision in the AoA or any public document affects a transaction, the parties involved are presumed to be aware of it as the ignorance of the provisions of public documents is generally not accepted as an excuse for any contractual or legal implications arising from such documents.

Thus, it can be said that if a **person enters into a contract with a company and claims ignorance of certain provisions of the company's AoA, the doctrine of constructive notice may be invoked, and he may be held accountable for having knowledge of those provisions** since they are part of the public records. Therefore, the 'Doctrine of Constructive Notice' holds that persons dealing with a company are presumed to have knowledge of its public documents, filed with regulatory authorities thereby ensuring transparency and fairness in business transactions.

Suggestive Questions:

- Q. What are the key aspects of the Doctrine of Constructive Notice in legal matters as per the Companies Act, 2013.
- Q. Provide an overview of the Doctrine of Constructive Notice as per the Companies Act, 2013.
- Q. Explain the concept of the 'Doctrine of Constructive Notice.'

Question no. 4. Write short notes on the 'Doctrine of Indoor Management'?

Ans.

- **Introduction:**

The 'Doctrine of Indoor Management' is a **legal principle** that protects the interests of third parties who transact with a company. According to this doctrine, **outsiders dealing with a company are entitled to assume that the internal procedures and formalities required for the company's operations have been properly complied with**. This doctrine essentially **protects third parties from the company's internal irregularities or deficiencies**. In other words, this doctrine provides that the persons dealing with the company are bound to see that the proposed deals are in accordance with the provisions of the Memorandum of Association and the Articles of Association of the company. But they are not bound to enquire into the internal regularity or procedural compliance of the company. If the proposed deal is within the scope of these two documents, the company will be bound by the deal and the rights of the dealing parties will not be adversely affected in any way by the irregularity of the internal procedures.

The rule on which the doctrine of Indoor Management is based was laid down in **Royal British Bank Vs. Turquand**. Therefore, this rule is also known as the 'Turquand rule'. Example: The Articles of a bank provided that the directors can borrow by issuing bond provided they were authorised by a resolution at the general meeting. The directors of the bank issued a bond to Mr. A without being authorised. Held, the Bank was bound by the bond and Mr. A was entitled to assume that the necessary resolution had been passed.

Thus, the doctrine **recognizes that an outsider dealing with a company cannot be expected to know the company's internal affairs**, such as its internal procedures, authority of officers, or compliance with internal rules. Therefore, when a third party enters into a transaction with a company and relies on the authority of an officer or a document, the third party's actions are considered valid even if there are internal irregularities. If an officer exceeds their authority or if there are internal defects, outsiders dealing with the company are not held responsible for these internal issues.

However, the **doctrine does not protect outsiders if they have actual knowledge of any irregularities or lack of authority**. If an outsider has reasons to suspect that something is wrong with the transaction or that the person, they are dealing with lacks authority, they are not protected by the doctrine. So, where a third party dealing with a company has actual knowledge or reason to believe that the transaction or the person they are dealing with is not in accordance with the company's internal procedures or authority in such cases, the third party cannot avail themselves of the protection provided by this doctrine. In other words, the protection provided by this doctrine does not extend to situations where the third party has actual knowledge of any deficiencies or irregularities in the transaction or the authority of the company's officers. So the exceptions to this doctrine are having a knowledge of any irregularities, forgery and negligence.

Example: If a third party is aware that a particular officer has been suspended or removed from their position in the company, and yet they enter into a transaction with that officer based on their apparent authority. In such a scenario, the third party cannot claim protection under the 'Doctrine of Indoor Management' because they have actual knowledge of the officer's lack of authority.

The exception ensures that the **doctrine is not misused by parties who have knowledge of irregularities or improper conduct within a company**. It encourages third parties to exercise reasonable diligence and not to turn a blind eye to obvious signs of wrongdoing and so the protection it provides to third parties is not absolute. It encourages transparency and responsible conduct among all parties involved in business transactions.

Thus, this legal principle **provides a shield to third parties dealing with a company from internal irregularities or deficiencies in the company's operations**. It ensures that outsiders can rely on the apparent authority and representations of the company's officers without being held responsible for internal matters beyond their knowledge. In other words, the doctrine ensures that third parties who transact with a company can rely on the outward appearances and representations made by the company's officers without probing into its internal affairs. It maintains the stability and predictability of business transactions by providing protection to innocent parties.

Suggestive Questions:

- Q. What are the key aspects of the Doctrine of Indoor management in legal matters as per the Companies Act, 2013.
- Q. Provide an overview of the Doctrine of Indoor management as per the Companies Act, 2013.
- Q. Explain the concept of the Doctrine of Indoor management.' Discuss the exceptions if any to this

Question no. 5. Write short notes on the 'Doctrine of Ultra Vires'?

Ans.

- **Introduction:**

The 'Doctrine of Ultra Vires' is a legal principle that relates to the powers and limitations of a company as defined in its Memorandum of Association. The term "ultra vires" is derived from Latin word "ultra" meaning 'beyond' and the word 'vires' meaning powers. Thus, ultra vires means "beyond the powers" of a company. This doctrine is essential for ensuring that a company operates within the scope of its authorized powers and does not engage in activities that exceed its legal boundaries. According to this doctrine a company can only engage in activities that are explicitly stated in its Memorandum of Association and so any action taken by the company beyond that is considered ultra vires and, therefore, void, and unenforceable. The main objective of the doctrine is to protect the interests of shareholders, creditors, and other stakeholders by preventing a company from acting beyond its proposed scope.

As the Memorandum of Association of a company defines its powers so any activity of a company beyond its Memorandum is ultra vires the company and such an act is

void and cannot be ratified even by unanimous resolution of all the shareholders. The doctrine **provides clarity and certainty** to shareholders, creditors, and other parties dealing with the company thereby **preventing the company from unexpectedly venturing into activities beyond its intended scope**, which could lead to financial risks. The doctrine **provides transparency and accountability** in corporate activities.

The doctrine of ultra-vires first time originated in the classic case of **Ashbury Railway Carriage and Iron Co. Ltd. v. Riche** where it was held that the contract was ultra-vires the Memorandum of the company, and, thus, null and void.

The 'Doctrine of Ultra Vires' ensures that companies operate within their authorized powers as defined in their Memorandum of Association. It safeguards the interests of stakeholders and maintains transparency and accountability in corporate activities.

NOTE: For more details refer to the Notes provided in the course.

Suggestive Questions:

- Q. What are the key aspects of the Doctrine of Ultra Vires in legal matters as per the Companies Act, 2013.
- Q. Provide an overview of the Doctrine of Ultra Vires as per the Companies Act, 2013.
- Q. Explain the concept of the Doctrine of Ultra Vires.' Discuss the exceptions if any to this doctrine.

Question no. 6. Explain the meaning of 'lifting of Corporate Veil' under the Companies Act, 2013. What are the circumstances when it can be lifted?

Ans.

- **Introduction:**

Under the Companies Act when the company is incorporated, it is accorded the **status of being a separate legal entity which demarcates the status of the company and the members or shareholders that it is composed of. This concept of differentiation is called a Corporate Veil.** On the other hand, the concept of "lifting of the corporate veil" refers to the legal principle where the separation between a company and its members is disregarded, revealing the true nature and identity of the individuals who are behind the company. In other words, the legal fiction that treats a company as a separate legal entity distinct from its members is temporarily set aside to expose the individuals who are actually responsible for the acts done on behalf of the company. This doctrine is applied in specific situations where the company's separate personality is used for fraudulent, unfair, or unlawful purposes.

One of the main characteristic features of a company is that the company is a separate legal entity distinct from its members. Lifting the corporate refers to the possibility of looking behind the company's framework or behind the company's separate personality. The **circumstances under which corporate veil may be lifted** can be categorized broadly into two following heads:

- ✓ **Statutory provisions:** This involves situations where the law itself allows for the lifting of the corporate veil. In such cases, the individuals who are actually in control of the company's actions can be held accountable, and the law prescribes penalties for them, examples: reduction of number of members below the statutory minimum, misstatement in the prospectus, failure to refund the application fee, ultra vires acts etc.
- ✓ **Judicial grounds:** The courts can lift the corporate veil on various grounds, such as when a company is sham or fraudulent, to avoid welfare legislation, to determine the true character of a company, or to protect revenue from tax evasion. The judicial grounds are applied based on the specific circumstances of each case, fraud, tax evasion, violation of public policy or the public interest etc.

The concept of "lifting the corporate veil" is a legal principle through which courts can unveil the hidden reality behind a company's legal façade. It enables the identification and accountability of individuals responsible for wrongful or fraudulent activities carried out using the company as a cover. This doctrine is invoked in specific situations where the interests of justice, fairness, and public interest demand that the true beneficiaries and responsible parties be revealed.

Suggestive Questions:

Q. Elaborate on the term "lifting the corporate veil" in alignment with the Companies Act, 2013. When and why might the courts choose to lift the corporate veil?

Q. Discuss the concept of "lifting the corporate veil" as outlined in the Companies Act, 2013. In what scenarios can this principle be utilized?

Q. Elaborate on the notion of "lifting the corporate veil" as per the Companies Act, 2013. When does this principle come into effect?

Q. What is meant by the concept of corporate veil and lifting of corporate veil under the Companies Act, 2016? When is it appropriate to apply this legal doctrine?

Question no. 7. What is meant by the incorporation of company as per Companies Act 2013 Explain in detail.

Ans.

- **Introduction:**

Incorporation of a company under the Companies Act 2013 refers to the formal legal process through which a new business entity is established as a separate legal entity with its own distinct identity, rights, and obligations. This process involves various steps and requirements that must be fulfilled to give the company legal recognition and standing.

Under **section 3 of the Act the basic requirements of forming a company** have been detailed like the requirement for the minimum number of members for forming a company which lays the foundation for the initiation of incorporation of a company . However, **section 7 lays down the provisions and procedures for the incorporation of a company** as under:

- ✓ **Filing of company registration papers with the registrar:** To incorporate a company, the subscriber has to file the following company registration papers with the registrar within whose jurisdiction the location of the registered office of the proposed company falls.
 - MoA & AoA
 - Person who is engaged in the formation of the company has to give a declaration regarding compliance of all the requirements and rules of the Act
 - Each subscriber to the Memorandum and individuals named as first directors in the Articles should submit an affidavit with details such as:
 - declaration regarding non-conviction of any offence with respect to the formation, promotion, or management of any company
 - he has not been found guilty of fraud or any breach of duty to any company
 - the documents filed with the registrar are complete and true to the best of his knowledge
 - Address for correspondence until the registered office is set-up
 - If the subscriber to the Memorandum is an individual, then his full name, residential address, and nationality along with a proof of identity. If the subscriber is a body corporate, then prescribed documents need to be provided.
 - Individuals mentioned as subscribers to the Memorandum in the Articles need to provide the details specified in the point above along with the Director Identification Number.
 - The individuals mentioned as first directors of the company in the Articles must provide particulars of interests in other firms or bodies corporate along with their consent to act as directors of the company.
- ✓ **Issuing the Certificate of Incorporation:** Once the Registrar receives the required documents and information, he registers all information and documents and issues a Certificate of Incorporation to the company.
- ✓ **Corporate Identity Number:** The Registrar also allocates a Corporate Identity Number to the company which is a distinct identity for the company. The allotment

of CIN is on and from the company's incorporation date. The certificate carries this date.

- ✓ **Maintaining copies of Company registration papers:** The company must maintain and preserve at its registered office copies of all documents and information as originally filed.
- ✓ **Furnishing false information at the time of incorporation:** If any person furnishes any false or incorrect particulars of any information or suppresses any material information, of which he is aware in any of the documents filed with the Registrar in relation to the registration of a company, he shall be liable for action under section 447.
- ✓ **The company is already incorporated based on false information:** Where, at any time after the incorporation of a company, it is proved that the company has been got incorporated by furnishing any false or incorrect information or representation or by suppressing any material fact or information in any of the documents or declaration filed or made for incorporating such company, or by any fraudulent action, the promoters, the persons named as the first directors of the company and the persons making declaration shall each be liable for action under section 447.
- ✓ **Order of the National Company Law Tribunal:** Where a company has been got incorporated by furnishing any false or incorrect information or representation or by suppressing any material fact or information in any of the documents or declaration filed or made for incorporating such company or by any fraudulent action, the Tribunal may, on an application made to it, on being satisfied that the situation so warrants:
 - pass such orders, as it may think fit, for regulation of the management of the company including changes, if any, in its memorandum and articles, in public interest or in the interest of the company and its members and creditors; or
 - direct that liability of the members shall be unlimited; or
 - direct removal of the name of the company from the register of companies; or
 - pass an order for the winding up of the company; or
 - pass such other orders as it may deem fit.

However, before making any order the **Tribunal shall:**

- give the company a reasonable opportunity of being heard in the matter; and
- take into consideration the transactions entered into by the company, including the obligations, if any, contracted or payment of any liability.

Therefore, the incorporation process under the Companies Act involves multiple steps and thus, provides the company with a separate legal identity, distinct from its owners, and enables it to conduct business activities, enter contracts, and assume legal rights and obligations.

Suggestive Questions:

Q. Elaborate on the procedure for establishing a company under the Companies Act 2013, outlining the steps involved in the incorporation?

Q. Describe the process of forming a company under the Companies Act, 2013, providing a detailed overview of the steps required for incorporation?

Q. Outline the process of incorporating a company as per the Companies Act, 2013, detailing the necessary steps and legal obligations to be fulfilled.

Question no. 8. Describe Meaning and characteristics of company as per the Companies Act, 2013?

Ans.

▪ **Introduction:**

The word 'company' is derived from the Latin word **Com Panis** wherein **Com** means 'with or together' and **Panis** means 'bread'. Under the Companies Act, 2013 ("Act"), a company is a legal entity formed by a group of individuals to conduct business activities with a common objective of earning profits. This Act provides comprehensive guidelines and regulations for the incorporation, management, operation, and dissolution of companies in India. According to **section 2(20) of this Act** "company" means a company incorporated under this Act or under any previous company law.

As per the Act, a company is defined as a separate legal entity that is incorporated and registered under the provisions of this Act. Being a mere creation of law, it possesses only those properties which the charter of its creation confers upon it either expressly or as incidental to its very existence. The characteristic features of a company are:

- ✓ **Incorporated Entity:** A company is created by a process of incorporation, which involves registration with the Registrar of Companies. This process grants the company a separate legal identity from its members, enabling it to own assets, incur liabilities, and enter into contracts in its own name.
- ✓ **Separate Legal Entity:** The company is considered a separate legal entity distinct from its members. It can sue and be sued in its own name, own property, and enter into contracts. This legal separation ensures that the company's actions are distinct from those of its shareholders. This is one of the outstanding features of a company i.e., its independent corporate existence.
- ✓ **Perpetual Succession:** A company enjoys perpetual succession, meaning its existence is not affected by the death, insolvency, or departure of its members. The company continues to exist regardless of changes in ownership, allowing for long-term stability in business operations.

- ✓ **Common Seal:** A company uses a common seal as an official signature on legal documents and contracts. This seal acts as the company's authorized signature and confirms the authenticity of documents. However, by an amendment now there is no compulsion on the company to have a common seal.
- ✓ **Limited Liability:** One of the most significant features of a company is limited liability. Members liability becomes limited or restricted to the nominal value of the shares taken by them in a company limited by shares or the amount guaranteed by them in a company limited by guarantee.
- ✓ **Transferability of Shares:** Section 44 of the Act, declares that "the shares or debentures or any other interest of any member in a company shall be a movable property that can be transferred in the manner provided in the Article of the company."
- ✓ **Capacity to Sue and Be Sued:** A company has the legal capacity to initiate legal proceedings or be the target of legal actions in its own name. This ability ensures that the company can protect its interests and rights legally.

Thus, a company under the Companies Act is a distinct legal entity characterized by its separate legal existence, limited liability for shareholders, perpetual succession, and other features that enable it to engage in business activities as an independent entity. These characteristics provide a framework for the operation, governance, and management of companies in India.

Suggestive Questions:

Q. Discuss the concept and attributes of a company as per the Companies Act, 2013?

Q. Outline the significance and elements that define a company as envisaged in the Companies Act, 2013?

Q. Analyze the characteristics and legal implications of a Company as per the Companies Act, 2013?

Question no. 9. What is meant by public offer and private placement under the Companies Act?

Ans.

▪ **Introduction:**

Under the Companies Act, 2013, the terms "public offer" and "private placement" **relate to two distinct methods of raising capital by companies**. These methods have specific regulations and requirements that companies must adhere to. As a business cannot run without funding so **it chooses to adopt these methods to raise fund** as per the provisions of the Companies Act ("Act").

Section 23 of Companies Act, 2013 deals with public offer and private placement.

- ✓ A **public company** may issue securities:
- to public through prospectus known as "public offer" by complying with the provisions of Part I of the Act; or
 - through private placement by complying with the provisions of Part II of the Act; or
 - through a rights issue or a bonus issue. II

In case of a listed company or a company which intends to get its securities listed also must comply with the provisions of the Securities and Exchange Board of India Act, 1992.

- ✓ A **private company** may issue securities:
- by way of rights issue or bonus issue; or
 - through private placement by complying with the provisions of Part II of the Act.

A public offer is a method by which a company invites the general public to subscribe to its shares or debentures. This process involves the issuance of a **prospectus**, which contains detailed information about the company, its financials, management, and the purpose of raising funds etc. The public offer aims to provide ownership and investment opportunities to a wide range of investors. Only a public company can issue public offer. **Sections 23 to 41 under Part I of Chapter III of the Act are applicable to public companies** for issue of its securities through prospectus i.e., 'public offer'. A public offer **includes initial public offer or further public offer** of securities to the public by a company, or an offer for sale of securities to the public by an existing shareholder, through issue of a prospectus. In this process the company issues a prospectus.

Private placement is a method of raising capital by offering shares or debentures to a select group of individuals or institutions, excluding the general public. This method is often used to raise funds from a limited number of investors, such as high net worth individuals, venture capitalists, or institutional investors. Section 42 of the Act provides that a company can make a private placement to a select group of persons or identified persons as identified by the Board of the company. A company making a private placement cannot offer its securities through any public advertisements or utilise any marketing, media, or distribution agents or channels to inform the public about such an offer. If the offer is advertised or marketed, it will be considered a public offer and not a private placement by the company.

NOTE: Include the other important compliances for each of these methods. Refer to the Notes in the course.

Thus, we can say that a public offer involves offering shares or debentures to the general public through a prospectus, while private placement targets a select group of investors without the need for a prospectus. Both methods have specific rules and regulations to safeguard the interests of investors and ensure transparency in capital raising activities.

Suggestive Questions:

Q. Examine the distinctive features and regulatory aspects of Public Offer and Private Placement under the Companies Act, 2013?

Q. Provide an overview of Public Offer and Private Placement in accordance with the mandates of the Companies Act, 2013?

Q. Analyze the mechanisms and differences between Public Offer and Private Placement as outlined in the Companies Act, 2013?

Question no. 10. What is prospectus and the various types of prospectuses? Explain in detail as per the Companies Act, 2013.

Ans.

- **Introduction:**

A prospectus is **a formal document that provides essential information about a company to potential investors.** It is a **very important document used during public offer** to communicate important details and facts about the company's financial status, operations, management, and the securities being offered. The **primary purpose of a prospectus is to enable investors to make informed decisions before investing in the company's securities.** It can be said that a prospectus is essentially an invitation to the public to invest in a company's securities. It **contains comprehensive and accurate information that helps investors evaluate the company's financial position,** future prospects, and risk factors associated with the investment. The Companies Act, 2013, and the Securities and Exchange Board of India regulations outline the specific requirements and disclosures that must be included in a prospectus. The prospectus **plays a critical role in maintaining** transparency, ensuring investor protection, and promoting fair practices in the capital markets.

As per Companies Act, 2013 ("Act") **Section 2(70) "prospectus" means** any document described or issued as a prospectus and includes a red herring prospectus referred to in section 32 or shelf prospectus referred to in section 31 or any notice, circular, advertisement or other document inviting offers from the public for the subscription or purchase of any securities of a body corporate. In other words, a prospectus is any advertisement, circular, or document that invites public to subscribe to any shares or debentures of a corporate body which is a public company. The company's operations and objectives, along with the purpose of the securities being offered are disclosed in a

prospectus. A **private company cannot issue a prospectus** because private companies are relatively small in size, thus, they issue fewer shares, and share transferability is limited. A prospectus contains details such as name of the company, registered address, nature and capital structure, date of opening and closing of the issue etc.

Section 26 deals with the legal requirements for the issuance of a prospectus as under:

- ✓ prospectus must be issued by or on behalf of a public company;
- ✓ make a declaration about the compliance of the provisions of the Companies Act and a statement to the effect that nothing in the prospectus is contrary to the provisions of the Act, the Securities Contracts (Regulation) Act, 1956 and the Securities and Exchange Board of India Act, 1992 and the rules and regulations made thereunder;
- ✓ the date stated in the prospectus will be regarded to be the date of its issuance of a prospectus;
- ✓ on or before the date of its publication, a copy of it has to be delivered to the Registrar for filing, signed by every person who is named therein as a director or proposed director of the company or by his duly authorised attorney;
- ✓ a statement claiming to be made by an expert may not be included in a prospectus issued unless the expert is a person who is not, and has not been, involved in any form of management or operations of the company. Written consent to the issue of the prospectus must be given, and must not withdraw his consent prior to delivery of a copy of the prospectus to the Registrar for filing. A statement to that effect must also be included in the prospectus.
- ✓ every prospectus issued must mention that a copy has been supplied to the Registrar for filing and must specify any documents that must be attached to the copy supplied;
- ✓ a prospectus issued more than 90 days after a copy is delivered to the Registrar, is deemed to be invalid.
- ✓ if a prospectus is issued in violation of provisions under Section 26, the company shall be penalized with a fine not less than fifty rupees and not exceeding three lakh rupees. Any individual who is knowingly a party to the issue of such prospectus shall be punishable with fine which shall not be less than fifty thousand rupees but which may extend to three lakh rupees.

According to the Companies Act, 2013, there are four types of prospectus: Red Herring, Shelf, Abridged, and Deemed.

- ✓ **Red Herring Prospectus:** Section 32
 - it is the initial version of the prospectus filed with the regulatory authority before the public issue of securities;
 - does not provide detailed information about the quantum or the price of the securities being offered by the company;
 - a company that intends to offer securities to the public can issue a red herring prospectus before issuing the original prospectus;

- it must be filed with the Registrar at least three days prior to the opening of the subscription list and offers;
- a red herring prospectus is subject to the same obligations as a prospectus, and any difference between the red herring prospectus and the prospectus must be identified as 'deviations in the prospectus'.
- upon the closing of the offer of securities the prospectus must state the total capital raised, whether by debt or share capital, and the closing price of the securities, as well as any other details not included in the red herring prospectus and must be filed with the Registrar and the SEBI.

✓ **Shelf Prospectus: Section 31**

- it is a type of prospectus that allows a company to offer multiple issues of securities over a specific period without filing a new prospectus each time;
- it provides flexibility to issuers to tap into the market as and when they require funding, subject to certain conditions;
- it is valid up to one year, during which the company can issue multiple offerings under the same document. The period of one year shall begin from the date of opening of the first offer of securities under the prospectus and in respect to subsequent offers of securities issued during the period of validity of that prospectus in accordance with the guidelines issued by SEBI. A fresh prospectus is not required to be issued for the offer of securities;
- a company filing a shelf prospectus must file an information memorandum with the Registrar prior to the issue of subsequent offer of securities, containing all updated charges in the facts, the company's financial position that changed between the previous offer of securities and the succeeding offer of securities, or any other changes.

✓ **Deemed Prospectus: Section 25**

- it refers to any document that offers securities to the public and contains all the information that a regular prospectus would include;
- it can be in various formats, such as an advertisement, a circular, or a notice however, if the contents of the document meets the criteria of a prospectus, it is treated as a deemed prospectus, and the company must follow the regulations applicable to a regular prospectus;
- it contains an offer for sale made by the intermediary or issuing house on behalf of a company that allots or agrees to allot its shares or securities through an intermediary. A company usually opts for a deemed prospectus to avoid complying with regulations issued by the SEBI;
- it is considered a document of offer for sale if it meets either of the following criterias:
 - the intermediary made an offer to sell shares to the public within six months of the allotment of shares; or

- the company which allotted its shares to the intermediary has not received payment in exchange for the shares the offer for sale was made by the intermediary.

✓ **Abridged Prospectus: Section 2(1)**

- it is a summarized version of the full prospectus;
- it provides an overview of the key information investors need to know, including the objectives of the issue, financial information, management details, and the terms of the offering.
- as per the definition of in the Act “abridged prospectus” means a memorandum containing such salient features of a prospectus as may be specified by the Securities and Exchange Board by making regulations in this behalf;
- as per section 33 of the Act no form of application for the purchase of any of the securities of a company shall be issued unless such form is accompanied by an abridged prospectus. However, this shall not be applicable if it is shown that the form of application was issued:
 - in connection with a bona fide invitation to a person to enter into an underwriting agreement with respect to such securities; or in relation to securities which were not offered to the public.

Liability for misstatement in a prospectus can be classified into civil liability under Section 35 and criminal liability under Section 34 of the Companies Act, 2013.

A prospectus is thus, a comprehensive document that contains essential information about a company and its securities, designed to inform potential investors. Each prospectus performs differently, which may help a company to make a reasonable investment decision. Identifying the appropriate type of prospectus for issuing securities helps the company to make an informed investment strategy. As a result, a prospectus is essential for every public company.

NOTE: For the liability elaborate the points as per the respective sections.

Suggestive Questions:

Q. What are the different types of prospectus allowed by the Companies Act, 2013? Elaborate.

Q. Explain what a prospectus is and also examine the specific characteristics of each types of prospectus as per the Companies Act, 2013?